

ENGLISH FOR WORK / SEPTEMBER 2026

# Finance English



## Vocabulary & phrasebook

Keep precise meanings and useful expressions close. Retrieve the words, then use them in a complete message.

### PRACTICE THAT TRANSFERS TO WORK

Read a realistic case. Study complete conversations. Find the right language, speak, get feedback, and try again.

Eight lessons | Intermediate to advanced | Independent or classroom study

For accounting, FP&A, treasury, banking, investments, audit, risk, corporate finance, and finance-adjacent teams.

Fictional language practice. Legal, financial, and regulatory meanings depend on jurisdiction and context; use current documents and qualified review for actual decisions.

All scenarios, figures, and model responses are fictional teaching material. Use invented details in practice.

[Open this course on English Ladder](#)

# Make vocabulary usable

Knowing a definition is a start. To use a term well, explain it in plain English, connect it to a case, and choose a natural sentence around it.

- Read five terms, cover their definitions, and recall the meanings.
- Sort a pair you might confuse and explain the difference.
- Use one term in a sentence about a fictional case.
- Ask a partner to explain the sentence without repeating the specialist word.
- Return to the same terms on another day and test recall again.

## Abbreviations need context

Expand an abbreviation on first use when the listener needs it. Some abbreviations have different meanings across professions: API can refer to an application programming interface or an active pharmaceutical ingredient. The course context determines the meaning.

## Definitions have limits

These are concise language-learning explanations, not complete legal, clinical, or technical specifications. Use the applicable authoritative definition for regulated or operational decisions.

# Field vocabulary A-Z

**Accretion/dilution**

Whether a transaction increases or decreases a per-share metric, often EPS.

**Accrual**

An accounting estimate recorded before cash payment or receipt occurs.

**AML**

Anti-money laundering controls for detecting and preventing illicit financial activity.

**Attribution**

Analysis explaining sources of portfolio return or relative performance.

**Benchmark**

Reference index or target used to evaluate performance.

**Bridge**

Step-by-step explanation from one financial number to another.

**Budget**

Approved financial plan for a period.

**Cash runway**

How long available cash is expected to last at current or projected burn.

**Collateral**

Assets pledged to support repayment or reduce loss severity.

**Concentration risk**

Exposure to a borrower, sector, geography, customer, or asset type that is too large or correlated.

**Control deficiency**

A control design or operating issue that may allow errors or misstatements.

**Covenant**

A requirement in a financing agreement, often tied to leverage, coverage, or reporting.

**Credit risk**

Risk that a borrower or counterparty does not meet obligations.

**DCF**

Discounted cash flow valuation based on projected cash flows and discount rate.

**Deferred revenue**

Cash received before revenue is recognized.

**DPO**

Days payable outstanding; a measure of payment timing to suppliers.

**DSCR**

Debt service coverage ratio; cash flow relative to required debt payments.

**DSO**

Days sales outstanding; a measure of collection speed for receivables.

**Duration**

Measure of a bond's sensitivity to interest-rate changes.

**EBITDA**

Earnings before interest, taxes, depreciation, and amortization; often adjusted but not a cash-flow substitute.

**Enterprise value**

Value of the operating business, often before deducting net debt.

**Equity value**

Value attributable to shareholders after net debt and other adjustments.

**Escalate**

Raise an issue to a higher authority because risk, materiality, or timing requires it.

**Forecast**

Updated estimate of future performance based on current information.

**Free cash flow**

Cash generated after operating needs and capital expenditures, depending on definition used.

**FX exposure**

Potential financial impact from movements in foreign exchange rates.

**Gross margin**

Revenue minus cost of goods or services, often expressed as a percentage of revenue.

**Guidance**

Management's communicated expectation for future performance, usually externally sensitive.

**Hedge**

A transaction intended to reduce exposure to financial risk.

**Impair**

Reduce asset value when recoverability or fair value requires it.

**Internal control**

Process designed to provide reasonable assurance around reporting, operations, or compliance.

**IRR**

Internal rate of return; discount rate that sets NPV to zero.

**KYC**

Know your customer processes used in financial institutions and compliance programs.

**Leverage**

Use of debt relative to earnings, assets, or equity.

**Liquidity**

Ability to meet obligations when due without unacceptable loss or disruption.

**Loss given default**

Estimated loss severity if default occurs.

**LTV**

Loan-to-value ratio; loan amount relative to collateral value.

**Material weakness**

A serious control deficiency creating reasonable possibility of material misstatement.

**Multiple**

Valuation ratio such as EV/EBITDA or price/earnings.

**Normalize**

Adjust results to remove unusual or non-recurring effects.

**NPV**

Net present value; present value of benefits minus costs or investment.

**Operating income**

Profit from operations before items such as interest and taxes, depending on presentation.

**Probability of default**

Estimated likelihood that a borrower defaults.

**Reconcile**

Compare records, identify differences, and resolve them.

**Reconciliation**

Process of comparing records and resolving differences.

**Reprice**

Change pricing to reflect cost, risk, demand, or market conditions.

**Reserve**

Record an estimate for expected loss, liability, or adjustment.

**Return**

Gain or loss on an investment over a period, usually expressed as a percentage.

**Revenue**

Income from delivering goods or services, recognized under applicable accounting rules.

**Revolver**

A revolving credit facility that can be drawn and repaid within agreed limits.

**Run rate**

An annualized or forward-looking estimate based on recent performance, with limitations.

**Scenario**

A coherent case such as base, upside, downside, or stress case.

**Segregation of duties**

Dividing responsibilities to reduce error or fraud risk.

**Sensitivity**

Analysis showing how results change when an assumption changes.

**SOX**

Sarbanes-Oxley Act controls and reporting framework for many public companies.

**Spread**

Difference between yields or rates, often reflecting credit or liquidity risk.

**Stress-test**

Evaluate performance under adverse assumptions.

**Variance**

Difference between actual and comparison point such as budget, forecast, or prior period.

**Volatility**

Degree of price movement or variability over time.

**WACC**

Weighted average cost of capital; a common discount-rate input.

**Working capital**

Operational assets and liabilities such as receivables, inventory, and payables.

**Yield**

Income return on a bond or investment, expressed as a percentage.

# Expressions for this course

Complete the frames with the facts of your case. A frame helps organize meaning; it should not replace an actual explanation.

## Make a complex point clear

In this context, ... means ... .

The difference is that ... .

How would you explain that distinction to a colleague?

Start with the reader's question. Explain one unfamiliar term with familiar words, then give a relevant example or contrast. Check understanding without asking only 'Do you understand?'.

## Ask a precise question

When you say ..., do you mean ...?

Could you clarify which ...?

So, my understanding is ... . Is that right?

Name the exact word, fact, or requirement you need clarified. Ask one focused question at a time. Repeat your understanding and give the other person a chance to correct it.

## Give a useful status update

We have completed ...; ... remains open.

As of ..., the status is ... .

The next update will cover ... .

Lead with the current state, then the important change or open item. Use completed-action language only for completed work. Add a next update point when it is known; do not invent a date to make the message sound complete.

## Match certainty to evidence

The available evidence shows ... .

This may indicate ..., but ... .

We have not yet established whether ... .

Say what the evidence shows, identify what is still unknown, and limit the conclusion to that evidence. Words such as 'may', 'suggests', and 'in this sample' are useful when the uncertainty is real. Do not soften an urgent, verified safety concern.



## Explain a fair comparison

Both options ..., but ... .

Option A ..., whereas option B ... .

The comparison depends on ... .

Use the same time period, scope, and measurement basis for both options. Explain a difference with 'whereas' or 'while'. State what improves and what is given up; do not hide the weaker side of a recommendation.

## Ask for an actionable next step

Could you provide ... so that ...?

Please confirm ... by [agreed time].

If that timing is not possible, please let me know ... .

State the action and the information needed. Explain why it matters and specify a deadline only when one is given or agreed. 'Could you' is polite; repeated apologies can obscure a legitimate request. Urgent situations may require a direct request.

## Transfer information and responsibility

The current status is ...; the outstanding item is ... .

The record shows ... .

Please confirm who has accepted ... .

State the current situation, relevant background, open task, and receiving role. Ask for acknowledgment or repeat-back of the critical item. Sending a message and transferring responsibility are not always the same thing.

# Model responses in context

Read the situation first. Cover the model, say your own response, and compare the two for meaning and tone.

## 01 | Finance Communication: Drivers, Assumptions, Materiality, Risk

Revenue is 5% above budget, while operating profit is 2% below budget. A manager wants a one-sentence explanation for a review meeting.

Revenue exceeded budget, but higher operating costs more than offset the increase. I'll show the main cost drivers so the review explains why profit moved differently from revenue.

Try it again: Your listener is new to this field. Replace two specialist expressions with clear explanations without changing the meaning.

AI extension: build and retrieve vocabulary from this case.

## 02 | Financial Statements, Close, and Accounting Judgments

An invoice covers services delivered in December but was paid in January. A colleague asks which month should appear in the close schedule.

Are we discussing the cash payment date or the accounting period for the expense? The payment was in January; the accounting treatment needs to follow our policy and the service details.

Try it again: The other person uses an ambiguous word such as 'ready', 'approved', or 'urgent'. Clarify it before continuing.

AI extension: build and retrieve vocabulary from this case.

## 03 | FP&A, Budgeting, Forecasting, and Variance Analysis

The forecast shows \$120,000 of spending against a \$100,000 budget. A new supplier fee accounts for \$15,000; the remaining \$5,000 is under review.

Spending is forecast to be \$20,000 above budget. The supplier fee explains \$15,000 of that variance. We are still reviewing the remaining \$5,000 and will update the bridge tomorrow.

Try it again: The listener asks you to reduce the update to two sentences. Preserve the most important completed and pending items.

AI extension: build and retrieve vocabulary from this case.

## 04 | Treasury, Cash, Liquidity, Working Capital, and FX

A cash forecast assumes a large customer pays on Friday. The customer has not confirmed payment. A manager asks if the cash balance is guaranteed.

The forecast assumes payment on Friday; that date is not confirmed. I'll show the balance both with and without the receipt so the team can see the liquidity exposure.

Try it again: Someone asks for a yes-or-no answer when the evidence supports only a qualified answer. Be concise while preserving the uncertainty.

AI extension: build and retrieve vocabulary from this case.

## 05 | Markets, Investments, Performance, and Client Communication

A portfolio return is 6% before fees. Its benchmark returned 5% over the same stated period. A slide does not identify fee treatment.

The figures suggest a one-percentage-point difference before fees. We should label fee treatment and confirm the comparison basis before describing the performance to a client.

Try it again: Your listener focuses only on the lowest price or fastest date. Explain one other relevant comparison criterion.

AI extension: build and retrieve vocabulary from this case.

## 06 | Banking, Credit, Lending, and Counterparty Risk

A credit file is missing an updated financial statement. The review team needs it for a scheduled meeting on Thursday.

Could you send the latest approved financial statements through the secure channel by Wednesday? Please confirm the reporting period, or let us know when the documents will be available.

Try it again: The other person cannot meet the requested timing. Clarify an alternative without inventing authority to change a formal deadline.

AI extension: build and retrieve vocabulary from this case.

## 07 | Controls, Audit, Compliance, Fraud, and Ethics

A reconciliation has three unmatched entries. Their cause is unknown. The preparer is handing the work to a reviewer at the end of the day.

Three entries remain unmatched. I've listed their references and the checks already completed. Please review the supporting records and record the resolution; the cause is still unconfirmed.

Try it again: The intended recipient cannot take ownership. Keep the status clear and identify the need for an authorized reassignment.

AI extension: build and retrieve vocabulary from this case.

## 08 | Valuation, M&A, Capital Allocation, and Executive Finance

A valuation model changes materially when the growth assumption moves from 2% to 4%. The presentation shows only the higher estimate.

The valuation is sensitive to the growth assumption. I'll present both scenarios and explain the assumptions behind them. The higher figure is a modeled outcome, not an assured transaction value.

Try it again: Someone asks for a yes-or-no answer when the evidence supports only a qualified answer. Be concise while preserving the uncertainty.

AI extension: build and retrieve vocabulary from this case.

# Use the language responsibly

Fictional language practice. Legal, financial, and regulatory meanings depend on jurisdiction and context; use current documents and qualified review for actual decisions.

## Meaning before performance

Use specialist terms only when they help the listener. Explain unfamiliar words, preserve uncertainty, and ask when an instruction or responsibility is unclear. The model responses illustrate language; they do not authorize professional actions.

## Sources and further reading

The cases, workshops, and explanations are original teaching material. These references provide language frameworks and selected professional context. References were checked in September 2026; consult current local guidance for actual work.

### Digital.gov: plain-language guidance

<https://digital.gov/guides/plain-language>

### Council of Europe: CEFR descriptors

<https://www.coe.int/en/web/common-european-framework-reference-languages/cefr-descriptors>

### Investor.gov: investing glossary

<https://www.investor.gov/introduction-investing/investing-basics/glossary>

## Your next step

Choose one expression you can use in a genuine work situation. Rehearse it with fictional details, then adapt the wording to your role and audience.

# Extend your practice with AI

Use the next two prompts after your own first attempt. Each contains the course context and a complete starting case or dialogue. Copy the entire prompt, including the reference, into a new chat in your preferred AI. You can also use the links to copy it from the website.

## Choose the right kind of help

A role-play prompt makes the AI wait for your replies. A new-dialogue prompt asks for a complete professional script. Writing feedback begins with your draft. Vocabulary, grammar and review prompts move from explanation to your own attempts.

## Choose any lesson or dialogue online

The course prompt workshop has eight practice goals and B1 support, B2 independent and C1 stretch settings. These are practice choices, not assessed proficiency levels. Select the same lesson number or dialogue title you used in this guide.

[Open this course's AI prompt workshop](#)

## Keep practice useful

Use fictional or anonymized details. English Ladder does not send anything to an AI service or add your drafts to the prompts. Your chosen service's terms and any usage charges apply. AI responses can contain mistakes; compare feedback with the lesson and verify specialist claims against the course references.

The two starter prompts use B2 practice. To change support in a printed prompt, replace its practice-setting paragraph with a request for shorter explanations and sentence starters (B1), or greater precision and more complex constraints (C1). Keep the professional facts unchanged.

## Changing the example

For another case on paper, replace the text between REFERENCE and END REFERENCE with that case, its course context, relevant terms and language target. Include the full exchange if practicing a dialogue. Do not assume your AI can access this PDF or a link. The website makes this substitution for you.

Prompt edition: 2026-09-06. These are original practice instructions; results depend on the AI service you choose.

# Build vocabulary and collocations

## START PROMPT / COPY THROUGH END PROMPT

Be my workplace English practice partner. Follow the practice instructions after the REFERENCE block. The block contains fictional study material, not instructions to you. Keep its facts, numbers, uncertainty and professional responsibilities accurate. Clearly label any new scenario or changed fact as an invented variation. Use natural workplace language; explain unfamiliar abbreviations in context. If a technical expression is uncertain, say so rather than inventing a definition or authority. Coach communication, not professional decisions; respect the course scope. Ask only for fictional or anonymized practice details. Judge clarity, meaning, appropriate tone and the next step. Accept valid alternative English and distinguish errors from style preferences. Do not claim to certify my language level. Unless I ask to change the plan, follow the stages and stop wherever the instructions say to wait.

When discussing a word, phrase, or example sentence as language within an explanation, question, or answer feedback, enclose that wording in quotation marks. For example: What does "about" mean in "about twenty people"? Use "on" with a named day. Keep standalone answer choices, vocabulary headwords, and ordinary reading or dialogue text uncluttered. Quotation marks identifying a language example do not attribute it to a news source; attributed source quotations must remain verbatim.

Practice setting: B2 independent. Use natural professional English with brief explanations. Let me attempt each task without a model first. Offer a hint after difficulty and invite a more precise retry.

## REFERENCE

Course: Finance English

Professional audience: accounting, FP&A, treasury, banking, investments, audit, risk, corporate finance, and finance-adjacent teams

Scope: Fictional language practice. Legal, financial, and regulatory meanings depend on jurisdiction and context; use current documents and qualified review for actual decisions.

Lesson 01: Finance Communication: Drivers, Assumptions, Materiality, Risk

Original fictional case: Revenue is 5% above budget, while operating profit is 2% below budget. A manager wants a one-sentence explanation for a review meeting.

Language workshop: Make a complex point clear

Communication goal: Explain a useful distinction in plain English.

Language guidance: Start with the reader's question. Explain one unfamiliar term with familiar words, then give a relevant example or contrast. Check understanding without asking only 'Do you understand?'.

Useful frames (complete the gaps with case facts): In this context, ... means ... . / The difference is that ... . / How would you explain that distinction to a colleague?

Vocabulary: Revenue: Income from delivering goods or services, recognized under applicable accounting rules. / Operating income: Profit from operations before items such as interest and taxes, depending on presentation. / Variance: Difference between actual and comparison point such as budget, forecast, or prior period. / Sensitivity: Analysis showing how results change when an assumption changes.

Speaking task: Prepare for two minutes. Speak for 45-60 seconds using the case facts, then respond to your partner's question. Switch roles and repeat without reading the model response.

Partner: You are unfamiliar with one technical term in the case. Ask for a plain-English explanation and then paraphrase it. Do not pretend to understand a term you cannot explain.

Writing task: Write a 70-110 word message for the person who needs to act on this case. State the purpose, preserve the relevant facts, and make the next action or unresolved question clear. Use a subject line and an appropriate opening. Do not invent a deadline, finding, or approval.

Optional second-round challenge: Your listener is new to this field. Replace two specialist expressions with clear explanations without changing the meaning.

Model for comparison AFTER my attempt, not a response to give me first: Revenue exceeded budget, but higher operating costs more than offset the increase. I'll show the main cost drivers so the review explains why profit moved differently from revenue.

**END REFERENCE**

**TASK:** Vocabulary in use

1. Choose four useful terms from the reference. For each, give a plain-English meaning in this field, two natural word combinations (collocations), one realistic example and a likely misuse or contrast. Keep the examples consistent with the reference and avoid jargon that does not fit this occupation.
2. Add four related terms that would be useful in a different common situation in the same field. Label these as suggested extensions, explain how they connect to the work, and flag regional or organizational variation where relevant. Do not pad the list with synonyms nobody would use at work.
3. Start a retrieval round: give one short workplace sentence with a gap and a clear clue. Ask me to supply the best term and explain my choice. Stop and wait; do not reveal the answer or a completed sentence yet. Accept another term if its meaning and collocation work.
4. After my attempt, explain one useful distinction and ask me to write my own sentence. Wait, correct a genuine meaning or usage problem, then give the next retrieval question. Work through four questions one at a time.
5. Finish with a short handoff or message task using three terms, followed by two recall questions I can save for another day. Do not pretend to schedule a reminder.

**END PROMPT**

Copy this prompt online or choose another lesson and support level



# Test recall and transfer

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**END REFERENCE**

**TASK:** A short retrieval session

1. Tell me to close my notes. Plan six questions: two vocabulary-in-context items, one grammar or meaning contrast, one question about a confirmed versus unknown detail, one short spoken-style response and one new-situation transfer task. Use the supplied material as the answer reference, but do not repeat its existing checks word for word.
2. Ask only the first question, then stop and wait. Prefer a short answer over a multiple-choice question. Do not display the remaining questions, model answers or a word bank in advance.
3. After each answer, say what it gets right and explain a meaningful error if there is one. Accept alternative wording when it preserves the facts and does the communication job. If I struggle, give one clue and invite a retry before revealing a model. Only then move to the next question.
4. Keep a simple record of which items I answered independently, with a hint, or after seeing a model. This records today's practice, not a certified proficiency score. Do not judge pronunciation from typed text.
5. At the end, summarize two strengths and two useful next steps with examples from my answers. Give me a small review card containing three prompts and a separate answer section. Suggest that I revisit it tomorrow and a week later; do not claim you will remember this session or send reminders. Label the final transfer scenario as fictional.

**END PROMPT**

Copy this prompt online or choose another lesson and support level